# Absa Bank PLC

FY 2022 Investor Briefing

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# Chairman’s update

Charles Muchene
– **Board Chairman**

# CEO Transition Update

## Update so far

September 2022
- Former Chief Executive Officer and Managing Director Jeremy Awori steps down

Mid October 2022
- Yusuf Omari appointed interim Chief Executive Officer and Managing Director, effective 01 November 2022

October 2022 to March 2023
- Competitive process to identify a suitable candidate for the CEO role conducted

March 2023
- Abdi Mohamed announced as the next Chief Executive Officer and Managing Director subject to regulatory approvals

Abdi Mohamed Credentials
- Kenyan born with over 28 years experience in the financial sector holding various executive positions within Absa Group
- Current Managing Director Absa Bank Tanzania and interim Managing Executive for Retail and Business Banking ARO
- In addition to his international experience, Abdi has held executive roles in Absa Kenya including running the Retail and Business Banking function and Chief Operating Officer
- Holds a Bachelor of Commerce (Hons) – Kenyatta University,
- Masters Business Administration (MBA) – Edith Cowan University and
- Advanced Management Programme (IMD Business School, Switzerland)

## Next steps

1. Yusuf Omari continues as interim Chief Executive Officer and Managing Director
2. Regulatory approval process for Abdi Mohamed
3. Appointment of Abdi Mohamed as Managing Director and Chief Executive Officer after regulatory approvals are obtained
4. CEO Leadership Transition

# Operating context for 2022

## Headwinds

1. An escalation in global geopolitical conflict
2. Global monetary policy tightening to contain inflation
3. Weaker than previously anticipated economic outcomes
4. Prolonged drought
5. Muted foreign direct investments

## Tailwinds

1. Receding impact of COVID-19 pandemic
2. Smooth transition in Government following a democratic election process
3. New Government policy regime towards inclusive growth
4. Private sector credit growth
5. Consumer confidence and resilience in SME sector
6. Within Absa Kenya - Significant growth momentum

## Absa's Response

- Sustained our efforts on economic recovery by supporting over 10,000 SMEs with financial and non-financial skills as well as advancing KES 148 billion of new lending to the economy in 2022, an increase of 36% towards businesses leading economic recovery and transformation.
- As a result, the Bank delivered stand-out financial performance

# Evolution of Absa Bank Kenya PLC through Strategic Horizons

**Strategic Horizons:**

| Horizon 1 | Horizon 2 | Horizon 3 |
|---|---|---|
| Correcting deceleration | Growth Transformation & Returns | Accelerated momentum and transformation to outperform |
| 2013 – 2017 | 2018 – 2022 | 2023 Onwards |

# Business Overview

Yusuf Omari
– Interim Chief Executive Officer

# Strategy Execution Highlights: We have concluded our Growth, Transformation and Returns strategy for 2018 - 2022

**Key Results and Outcomes**

## On Growth

Significant growth momentum

## On Transformation

Market leading efficiency levels

## On Returns

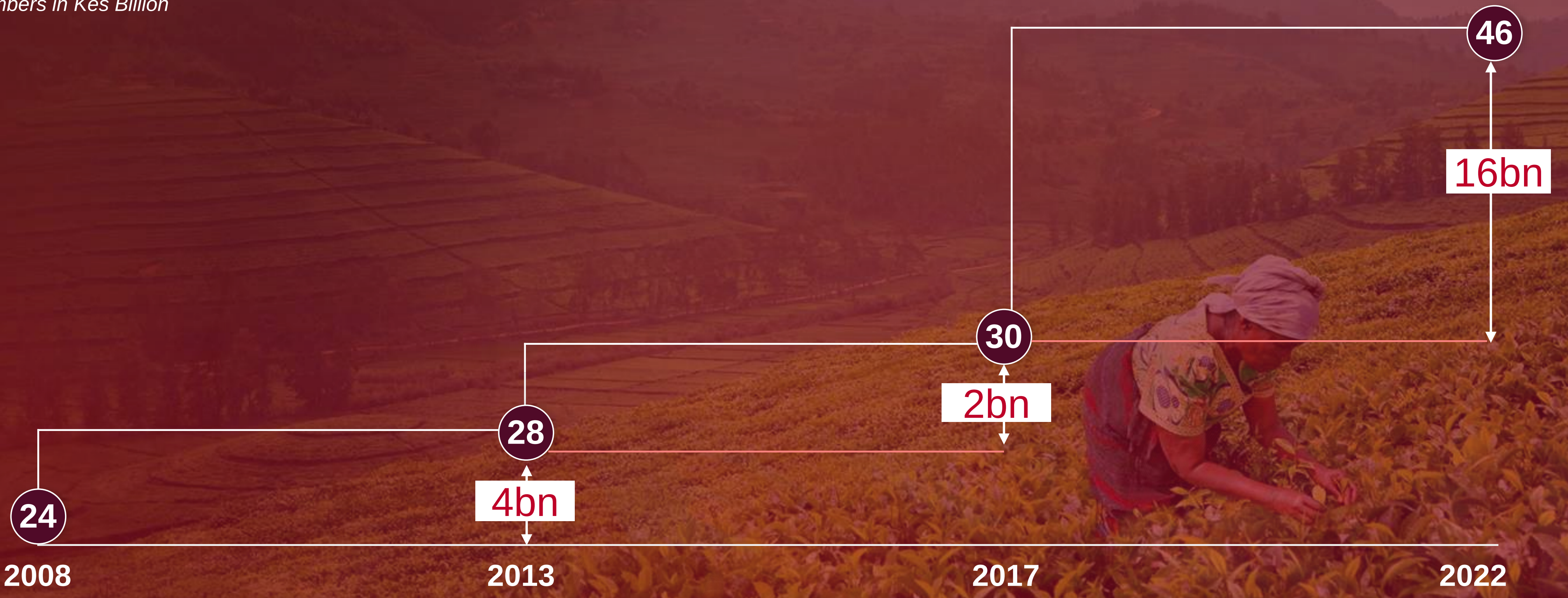
Absa stock outperforming the NSE[1] and listed banks

Notes

1. Stock price performance measured from commencement of our strategy (1st January 2018)

# On Growth: Our growth has significantly accelerated with GTR[1] over the last 5 years, growing by 7x compared to previous strategic horizon

*Numbers in Kes Billion*

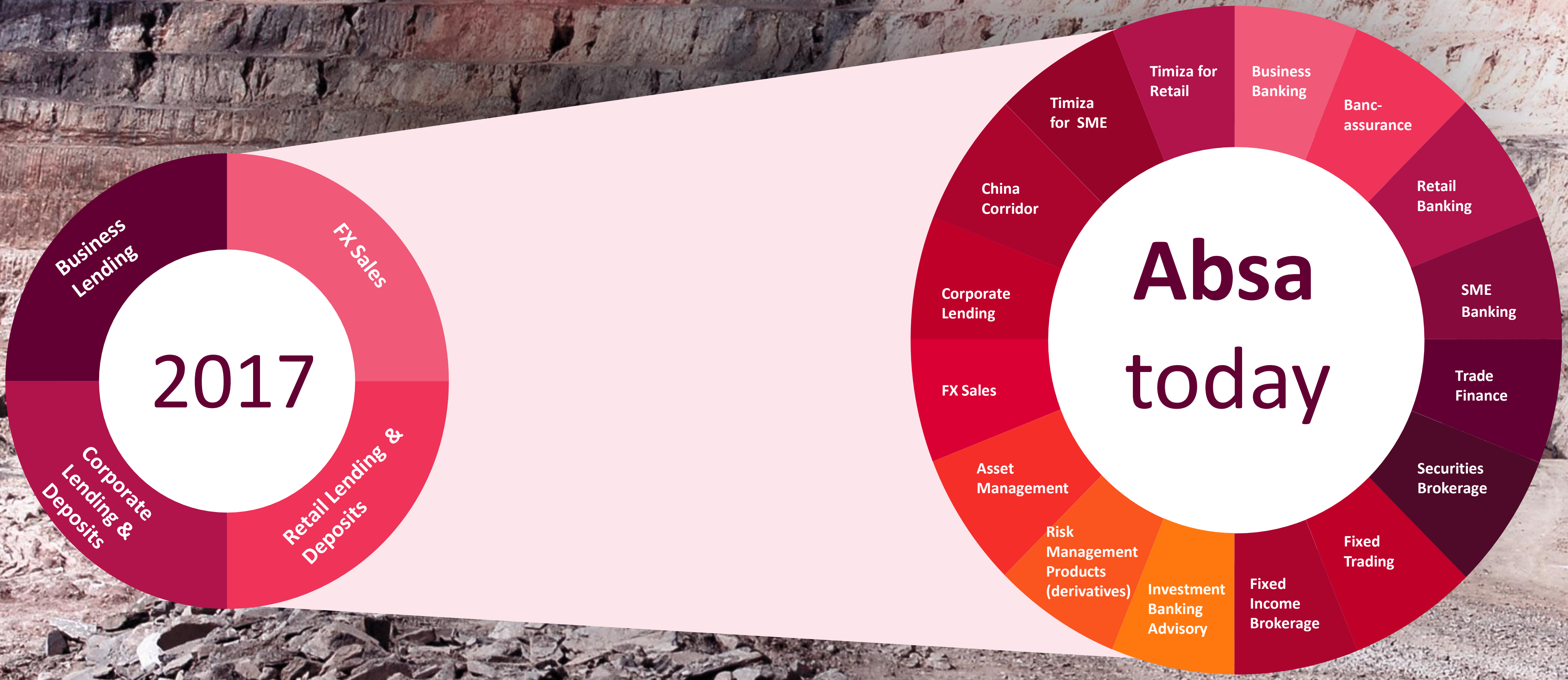



Driven by:

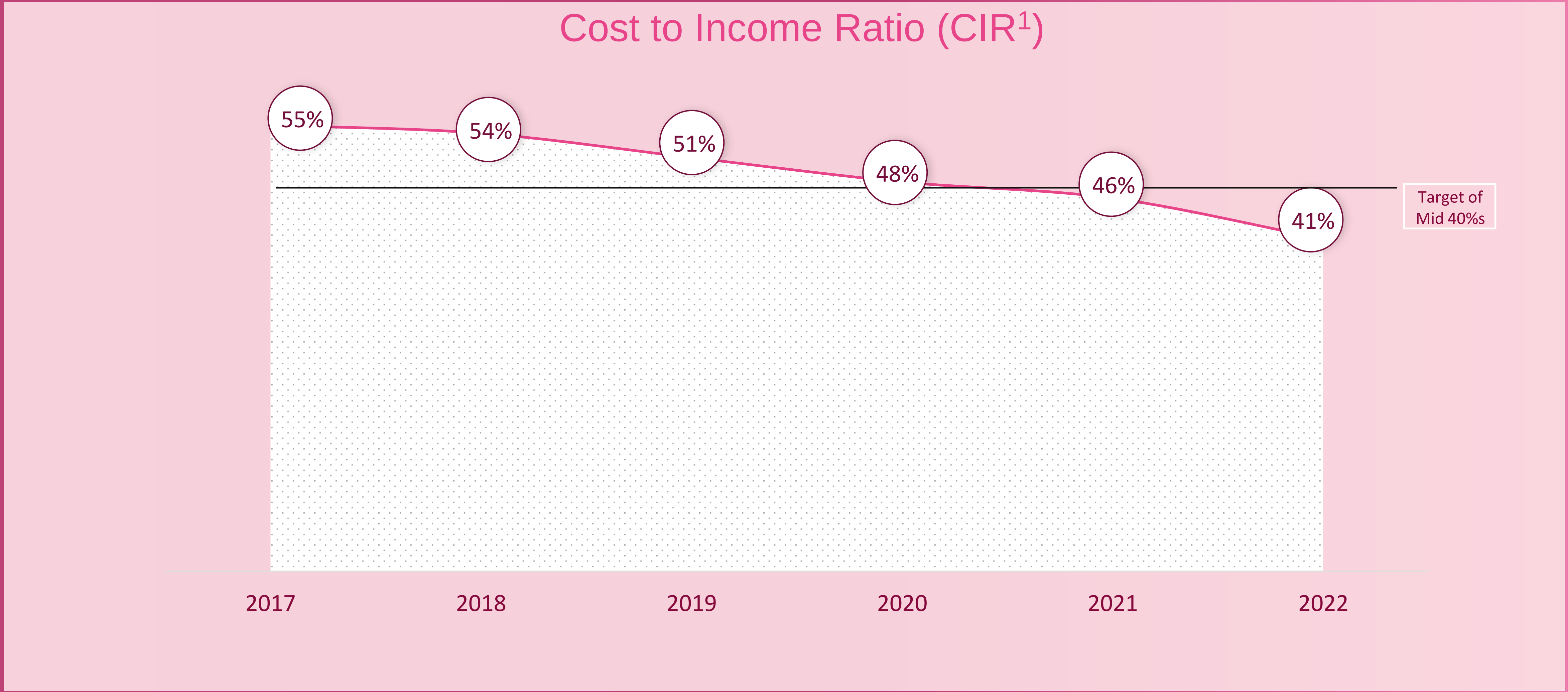
- New products, significant investments and a heightened performance culture

Note: 1. GTR – Growth, Transformation and Returns

# On Growth: Over the strategic period, our business has evolved towards a full financial services group driven by a broader proposition set



# On Transformation: We have optimized our structural costs; redesigning the organization towards sales and service and significantly improving our CIR[1] to low 40%s




Driven by: Revenue growth initiatives expanding our portfolio, structural cost optimization, prudent discretionary expense management and cost productivity increases

Note: 1. CIR – Cost to Income Ratio

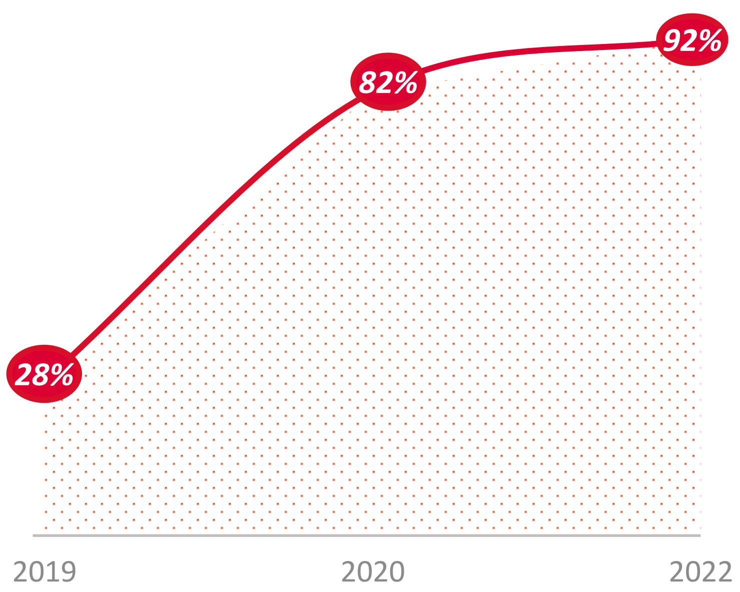
# On Transformation: The re-investment effort has been all rounded

| | | | | |
|---|---|---|---|---|
| **Corporate Level** | Rebranding | Digitization & Automation of 52% of our processes | NextGen HR System | NextGen Finance System |
| **Front-Office** | New Relationships with Data Partners (Retail Financing FMCG Agiza) | Cash Deposit Machines | Various Enhancements (Digital Transformation) | Customer Experience Innovation (Chat Banking, NOVO FX, Digital Acc. Opening) |
| Back-Office | Robotics Process Automation | Unified Payments Platform | Virtual Banking Platform Migration | In-house Aggregator Platform |

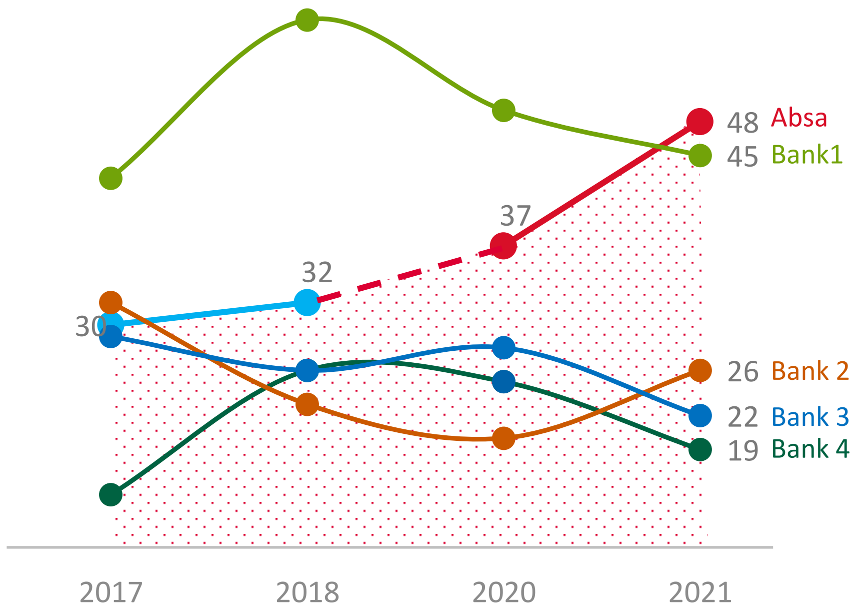



# On Transformation: We have achieved significant milestones with our new brand since the re-brand in 2020

## Brand Awareness score




## Most Reputable Bank in Kenya[1]




## Other scores

**73.4%** Colleague Brand Love score

**86%** Customer Experience Index score

Notes

1. Reputation score sourced from the GlobeScan survey done in Q4 2022

# On Transformation: Magical Kenya Open showcased Absa as a locally relevant brand, one that embraces the Kenyan tenacious spirit (Africanacity)

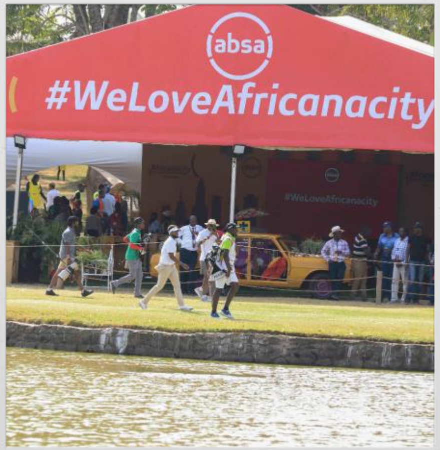
## Highlights

- KES 70 million investment in-line with our long-term commitment to nurture sports
- We sponsored eight local Pros and one amateur to the tune of KES3.7M
- 100 trees for every birdie scored

**Over 5 Million people reached through media**

**5,000 people engaged off the course**

**Over 200,000 trees to be planted and nurtured**






# On Transformation: For our customers, we have doubled down on small and medium-sized enterprises

We are driving continuous innovation in a bid to make it easier, faster and better for small and medium sized businesses in the market

We toured ten counties in Q4 2022 meeting with over 10,000 small and medium enterprises


# On Transformation: Supporting our customers and clients through the cycles

| 2020/21 | 2022 | |
|---|---|---|
| **KES 59bn** | **396,000** | **KES 148bn** |
| *COVID-19 loan repayment holiday* | *Customers qualify for 50% waiver on digital lending* | *New gross lending to the economy* |

# On Transformation: We are building Absa as a fun, vibrant and aspirational place to work and recently we have revamped our employee value proposition

## Revamped Employee Value Proposition

### Care

"I really appreciate that I have an employer who cares about my wellness. In addition, the provision of the Absa sports club enables me relax, exercise and reconnect with my colleagues"

### Culture

"I love the fact that I work for an organization that has a warm and inclusive culture"

### Contribution

"Alone we can do little, together we can do a lot. Every contribution matters in a team"

### Career Growth

"I have grown my career by taking advantage of lateral moves, being resilient, hardworking, bold and exploring various learning opportunities that come my way"

# On Transformation: We continue to embed sustainability in our business

## 1 Environment

- 80+ Absa properties retrofitted
- IFC EDGE certification for five of our properties
- Continued implementing our tree planting program which targets 10m trees in 10 years

## 2 Education and Skills Development

- 250k youth in Kenya impacted through Ready to Work
- 300 colleagues trained as Ready to Work champions and facilitators
- Trained over 200 suppliers on sustainability


Our High Impact SDG's

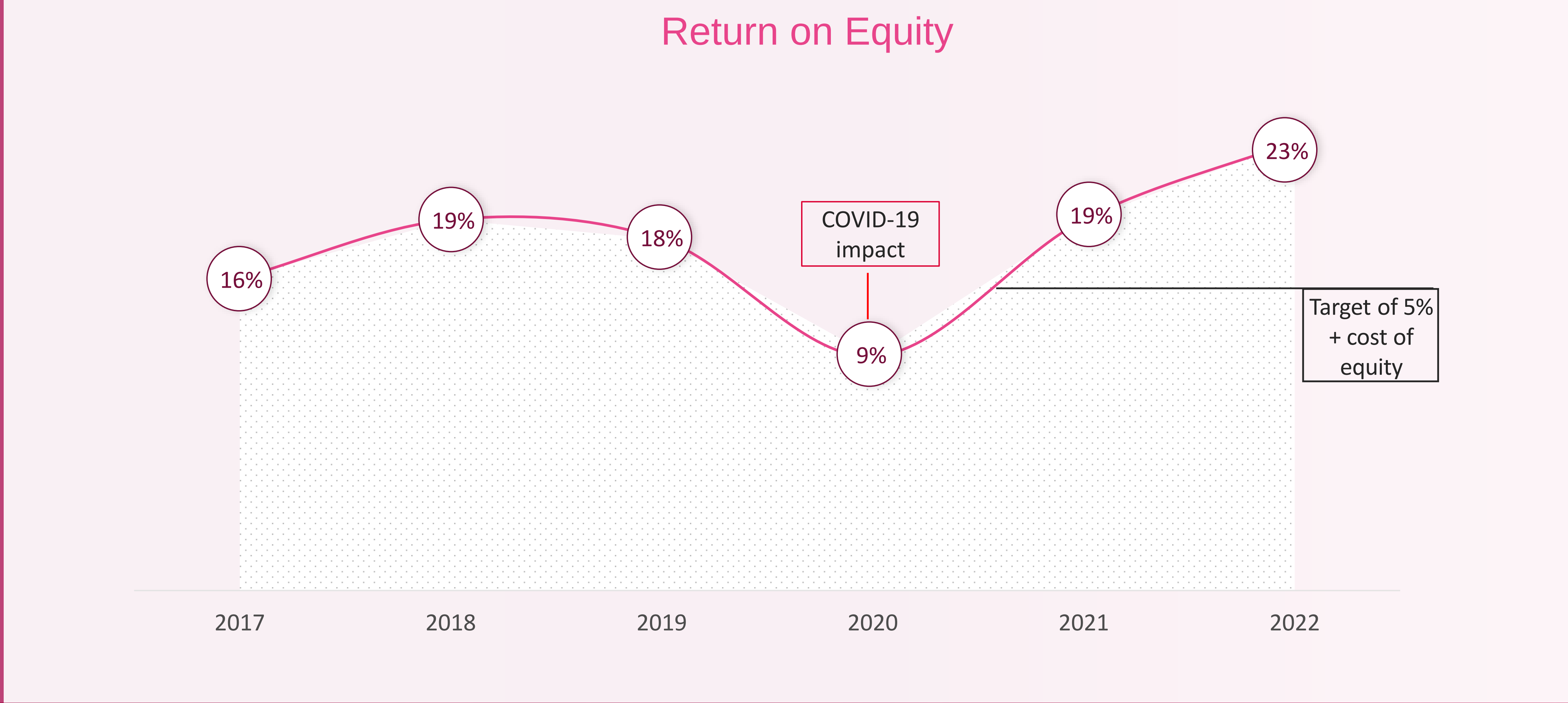

## 3 Promoting a Just Society

- Committed to attain 30% diversity in our supply chain by 2025
- 43 computer labs set up in schools across the country
- Targeting to establish Absa Kenya Foundation in 2023

## 4 Inclusive Financing

- EUR 200,000 technical support grant directed to women-led businesses
- Sustainable Financing Guarantee
- Green financing target of 10% by 2025 of our portfolio

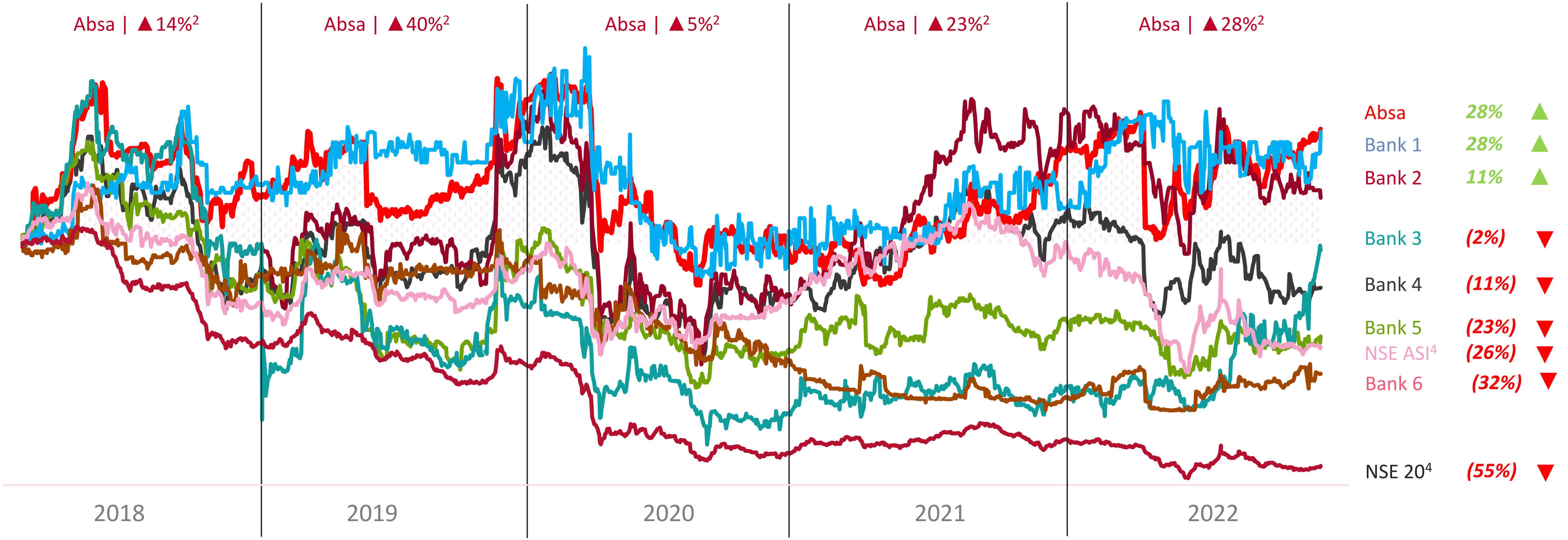
# On Returns: We have delivered top quartile returns to our stakeholders through the cycle well above cost of equity




Driven by:

- Business fundamentals – revenue growth, efficiency efforts and capital optimization and improved returns through precision in capital management

# On Returns: The Absa stock[1] continues to outperform key indices, supported by sequential increase in the underlying valuation




| | 2018 | 2019 | 2020 | 2021 | 2022 |
|---|---|---|---|---|---|
| Absa Stock Price[2] | *#1* | *#1* | *#2* | *#2* | *#1* |
| Dividend Yield | *#2* | *#1* | - | *#2* | *Top Quartile* |
| Absa ROE[3] | *17%* | *18%* | *9%* | *19%* | *23%* |
| Industry ROE[3] | *16%* | *15%* | *11%* | *16%* | *20%* |

Notes
1. Stock price performance as at Friday the 2nd February 2023
2. The stock price performance baseline is from January 1st 2018, the commencement of the Growth, Transformation and Returns Strategy
3. ROE – Return on Equity; Absa ROE as at FY 2022; Industry ROE annualized as at Q3 2022
4. NSE ASI – Nairobi Stock Exchange All Share Index; NSE 20 – Nairobi Stock Exchange top 20 performing companies

# Awards and Recognitions in 2022: Our efforts are being recognized by external stakeholders

- Ranked **Most Reputable** Bank by GlobeScan
- No 1. **Transformative Corporate Brand** impacting business
- Awarded Top Employer 2022 and 2023
- Local currency Corporate Bond Deal of the year 2022
- No 1. as Organization of the year by Women on Board Network
- **CIO of the Year 2022** at the DX100 Symposium & Awards
- **Infrastructure sector award** at the DX100 Symposium & Awards
- **#1 in Asset Finance** by Think Business
- **#2 Best Bank in Tier 1** by Think Business
- **#2 Best in Corporate Banking** by Think Business
- **#2 Best in Retail Banking** by Think Business
- **#2 Best in Agriculture and Livestock Financing** by Think Business
- **Top 100 Organizations in Africa** using technology to drive innovation and business value

# Financial Performance

Moses Muthui
**– Interim Chief Financial Officer**

# FY 2022 Financial Results: Exceeding expectations on all six principal areas

| Income Statement (KES billions unless stated otherwise) | FY 2022 | | Vs Observed YTD Momentum | | | |
|---|---|---|---|---|---|---|
| | Actual | YoY | Q1 | Q2 | Q3 | Q4 |
| **01** Growth Momentum | | | | | | |
| Income | **46.0** | 25% | 12% | 17% | 22% | 25% |
| Retail | **23.4** | 19% | 9% | 14% | 16% | 19% |
| Business Bank | **8.6** | 26% | 15% | 22% | 29% | 26% |
| Corporate Bank | **8.7** | 37% | 17% | 24% | 33% | 37% |
| Global Markets | **5.3** | 29% | 18% | 15% | 25% | 29% |
| **02** Operating leverage | | | | | | |
| Operating Expenses | **18.7** | 12% | 10% | 11% | 12% | 12% |
| Cost to Income Ratio | **41%** | (5%) | 45% | 42% | 40% | 41% |
| JAWs | **13%** | 6% | 2% | 6% | 12% | 13% |
| **03** Profitability | | | | | | |
| PBT | **20.8** | 34% | 26% | 15% | 28% | 34% |
| PAT | **14.6** | 34% | 22% | 13% | 30% | 34% |
| Return on Equity | **23%** | 3.6% | 20% | 23% | 24% | 23% |
| **04** Balance Sheet origination | | | | | | |
| Customer Assets | **283.6** | 21% | 11% | 19% | 26% | 21% |
| Customer Liabilities | **303.8** | 13% | 5% | 7% | 5% | 13% |
| Loan/Deposit Ratio | **98%** | 6% | 95% | 98% | 108% | 98% |
| Total Capital Ratio | **18.5%** | 1.4% | 17.0% | 16.4% | 16.2% | 18.5% |
| Liquidity Ratio | **33.6%** | (4.7%) | 36.7% | 30.3% | 25.8% | 33.6% |
| **05** Portfolio Quality | **Current Year** | **Prior Year** | | | | |
| Impairment | **6.5** | 4.7 | 1.2 | 3.0 | 5.0 | 6.5 |
| Gross NPL Ratio | **7.3%** | 7.7% | 7.4% | 7.0% | 6.9% | 7.3% |
| LLR | **2.3%** | 2.0% | 2.0% | 2.3% | 2.3% | 2.3% |
| Coverage Ratio | **81%** | 78% | 76% | 78% | 80% | 81% |
| **06** Valuations | **Current Year** | **Prior Year** | | | | |
| Book Value Per Share(KES) | **11.7** | 10.4 | 10.9 | 10.4 | 11.1 | 11.7 |
| Price/ Book Ratio | **1.05** | 1.14 | 1.14 | 1.01 | 1.03 | 1.05 |
| Dividend Per Share | **1.35** | 1.10 | - | 0.2 | - | 1.15 |

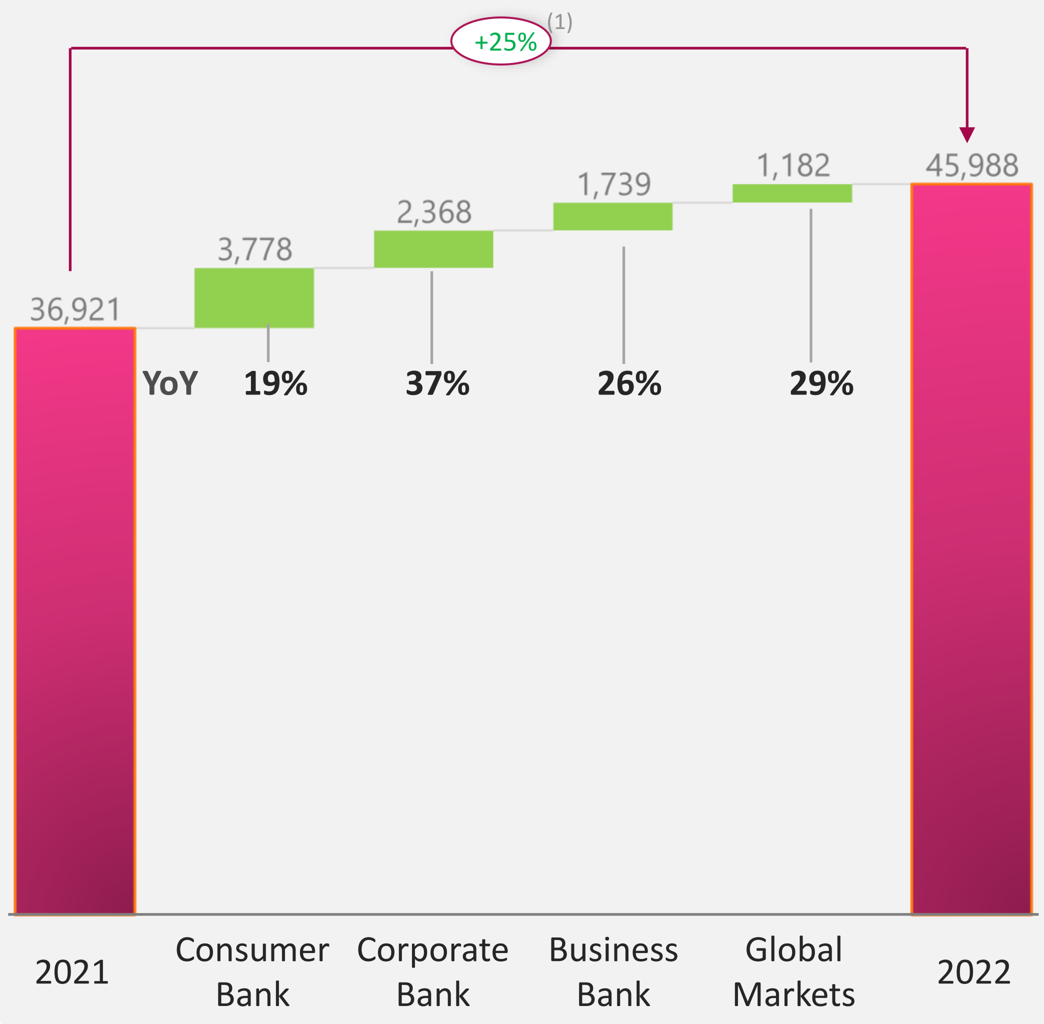
## Highlights

1. Sustained revenue growth momentum across all segments
2. Outperformance on efficiency ratio with double-digit JAWs
3. ROE significantly above cost of equity
4. Accelerated balance sheet growth while improving capital
5. Sustained portfolio quality despite double digit growth in customer assets while improving coverage
6. Progressively improved franchise value while increasing dividend by 23%

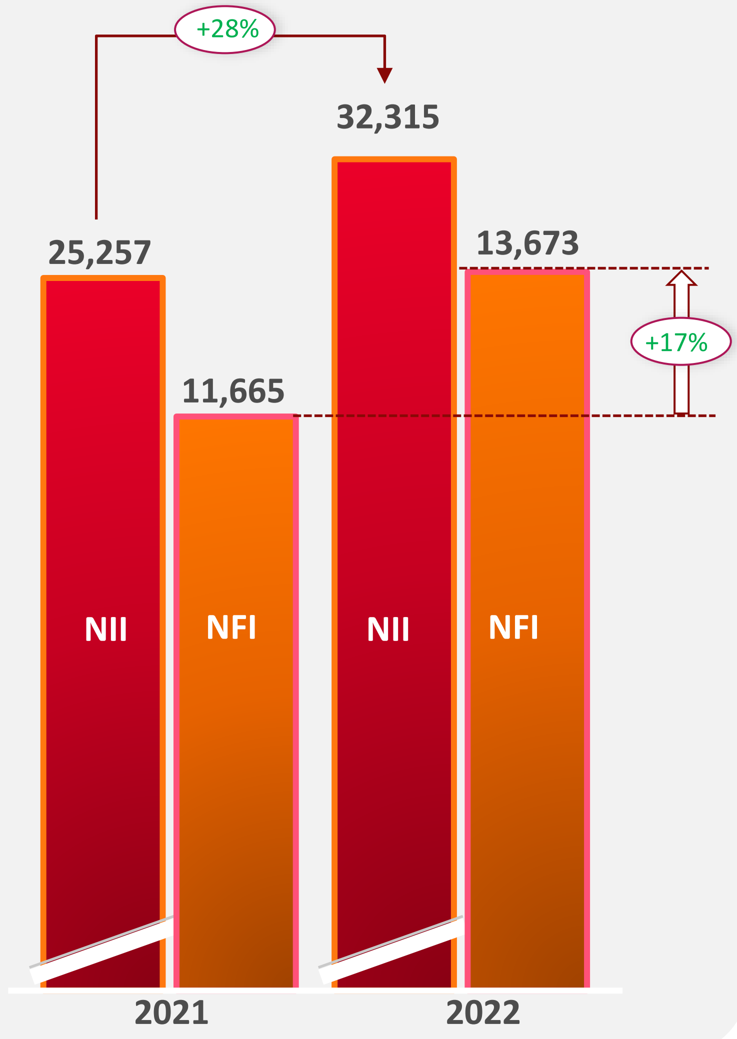
# 1 Broad Based Growth Momentum: Accelerated revenue growth across all businesses

**Revenue** Performance

(KES millions unless stated otherwise)




**Revenue** diversification[2]




**Highlights**

- All businesses are delivering double digits in revenue growth
- New businesses are accelerating Non-Funded Income growth
- Net Interest Income up 28% driven by both rate and volume improvements

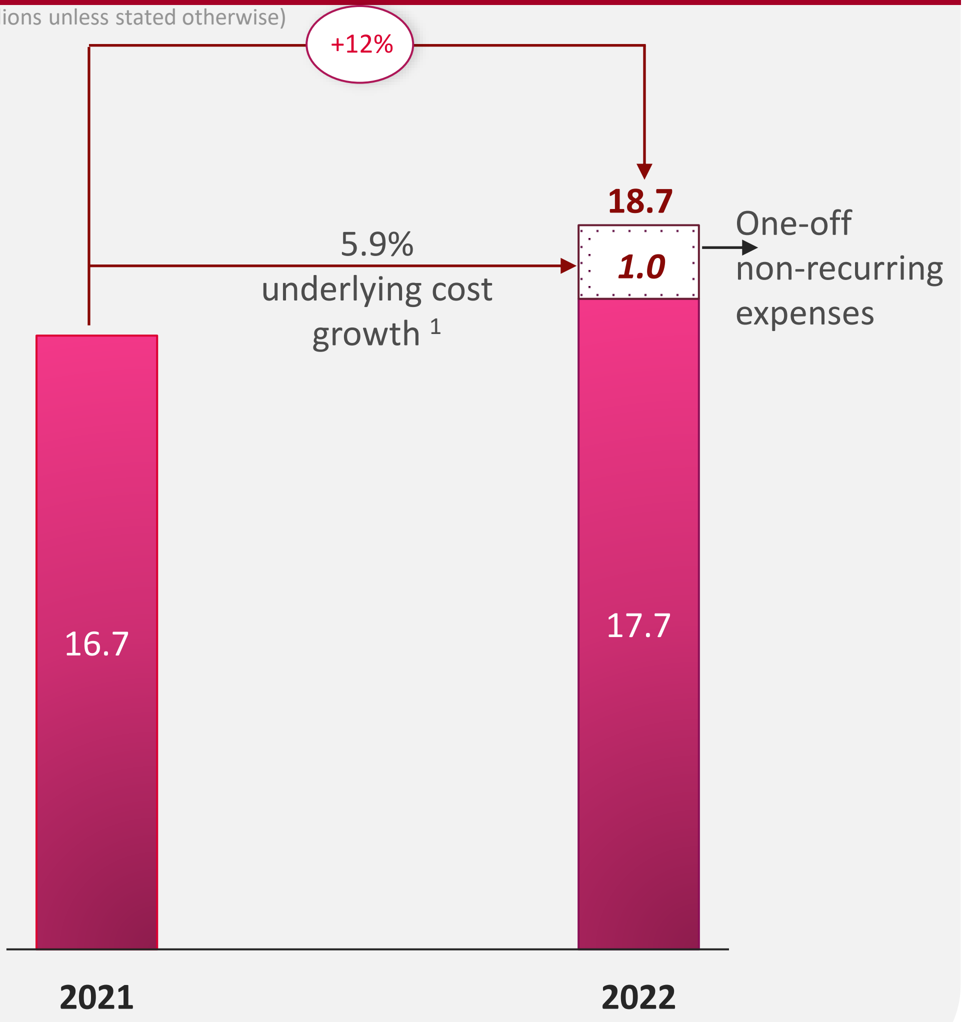
Notes

1. Revenue growth of KES 9 billion of which KES 4.5 billion was driven by volume , KES 3 billion by rates and KES 1.5 billion by fees and others
2. Total Revenue of KES 46 billion split at 51% retail and 49% wholesale

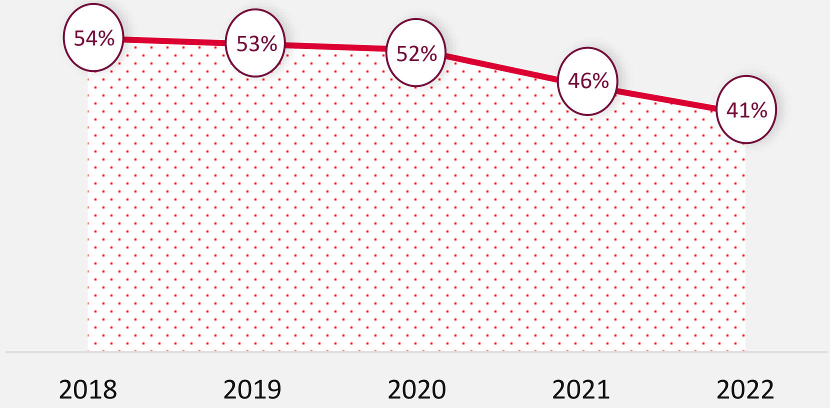
# 2 Improved Operating Leverage: Despite 12% increase in costs towards investments, our efficiency level has improved to 41%; with double-digit JAWs

## Cost Outlay

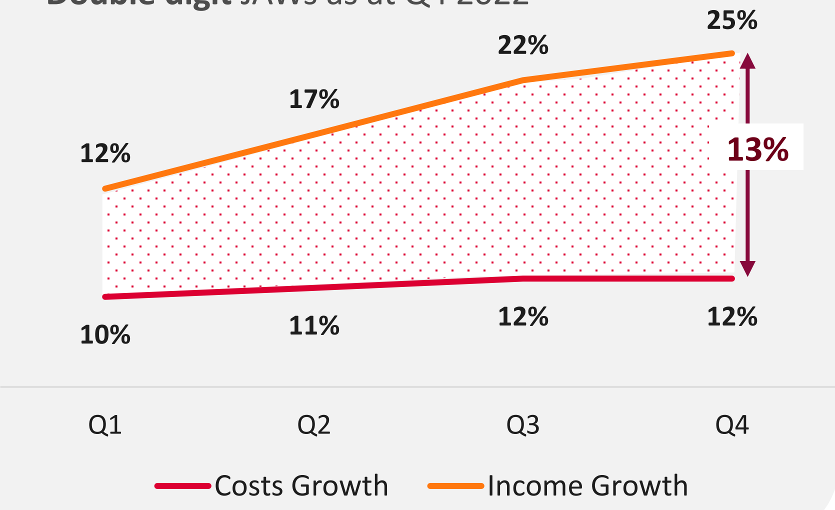
(KES billions unless stated otherwise)




## Efficiency Ratio (Cost to Income at 41%)




**Double digit** JAWs as at Q4 2022




## Highlights

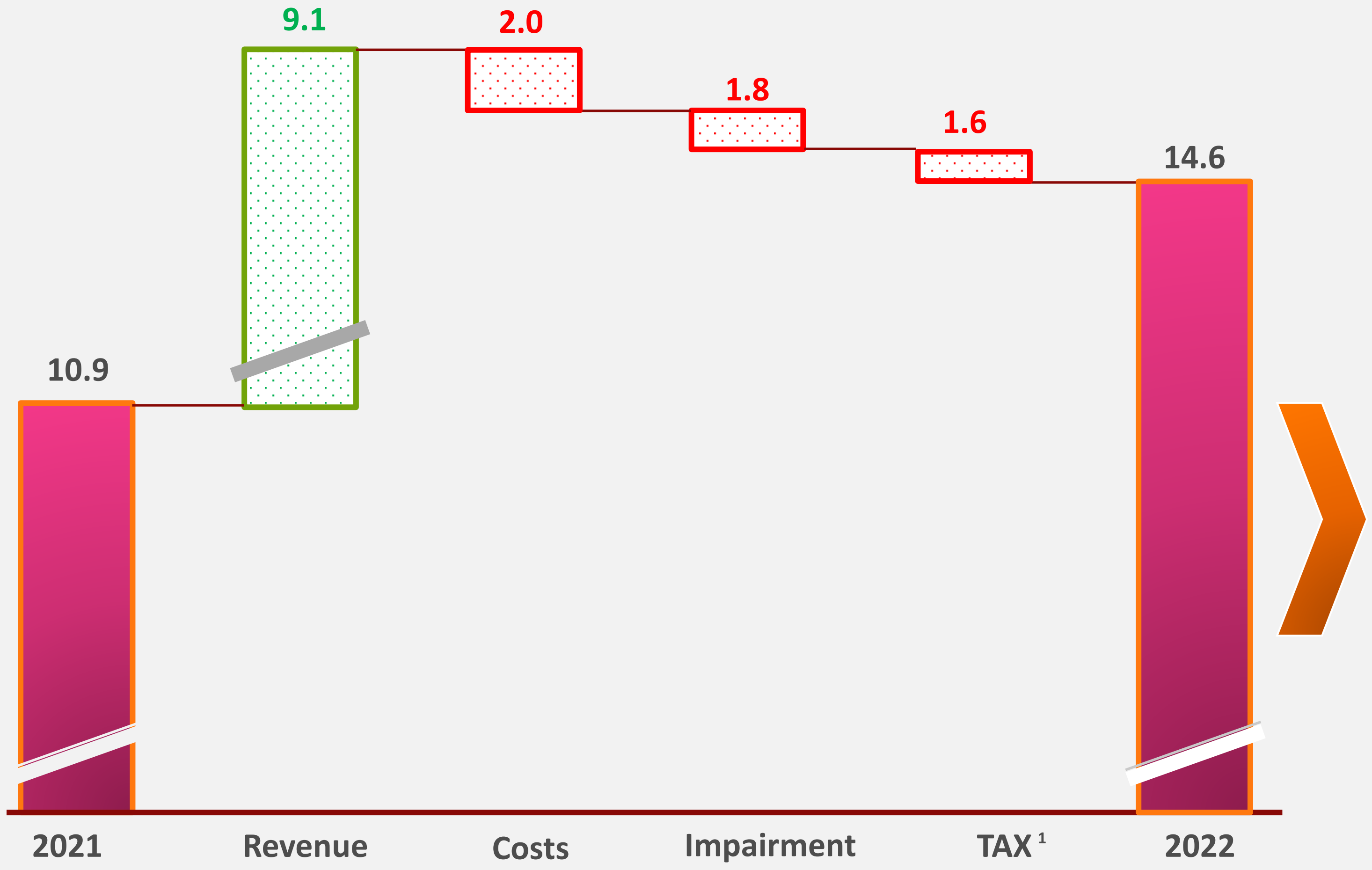
- Costs increase driven by strategic investments
- Efficiency level has improved to 41% and gives us capacity to re-invest further to support growth
- Despite the cost increase, we are registering double digit JAWs

Notes

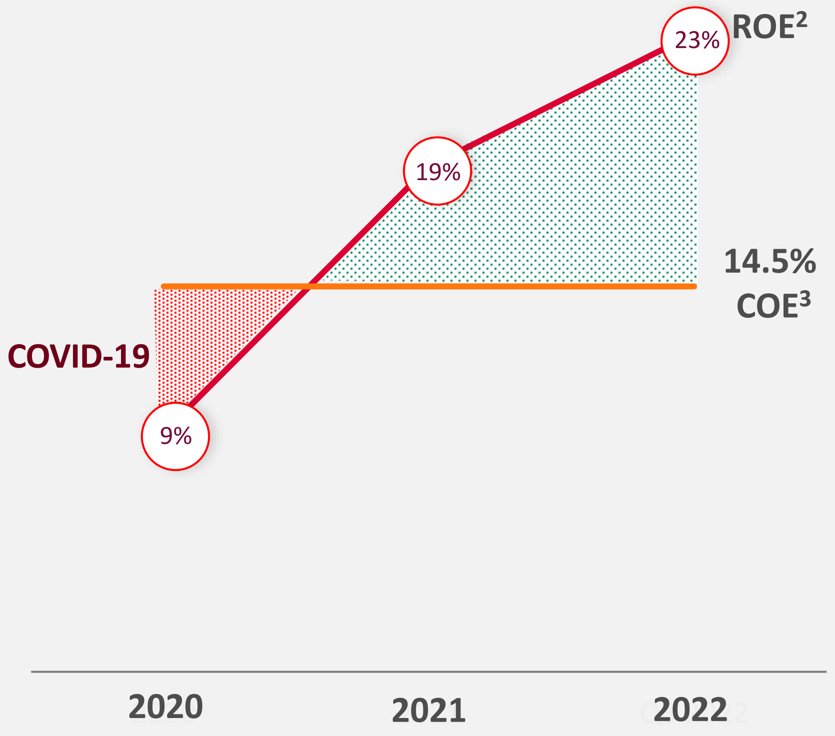
1. Cost increase of 5.9% (within inflation) equating to an increment of 11% staff cost increase, 19% (or KES 18 mn) in rental and a 2% decrease in depreciation costs, 1.1% decrease in other costs

# 3 Stand-out Profitability: Topline-driven-PAT growth of 34%, supporting returns accretion

**KES 4 billion Profit After Tax growth** driven by topline performance




**Supporting** Return On Equity accretion

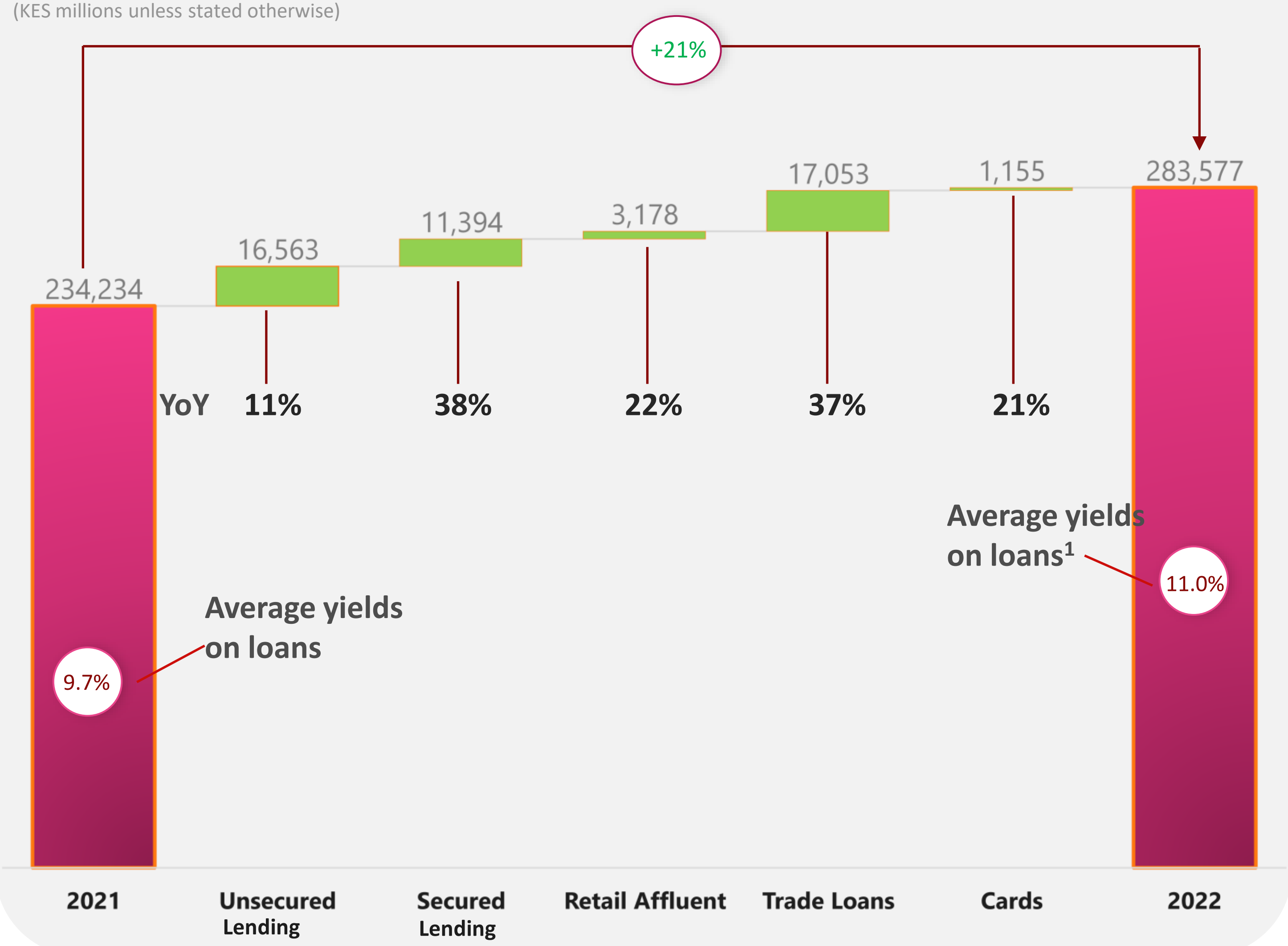



Notes
1. Effective Tax Rate of 30%
2. ROE – Return on Equity
3. COE – Cost of Equity

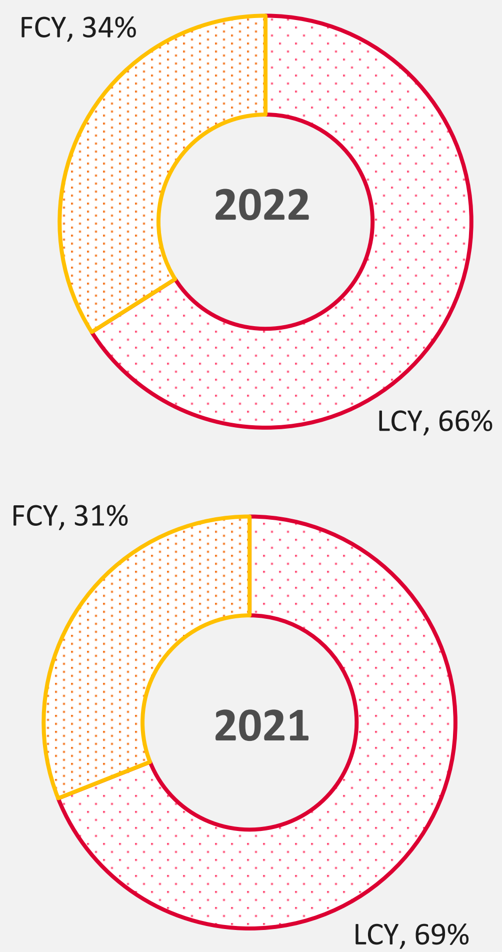
# 4 Smart Balance Sheet Origination: Accelerated growth across focus segments and products

## Customer Loans and Advances driven by smart growth

(KES millions unless stated otherwise)




## Portfolio split by currency



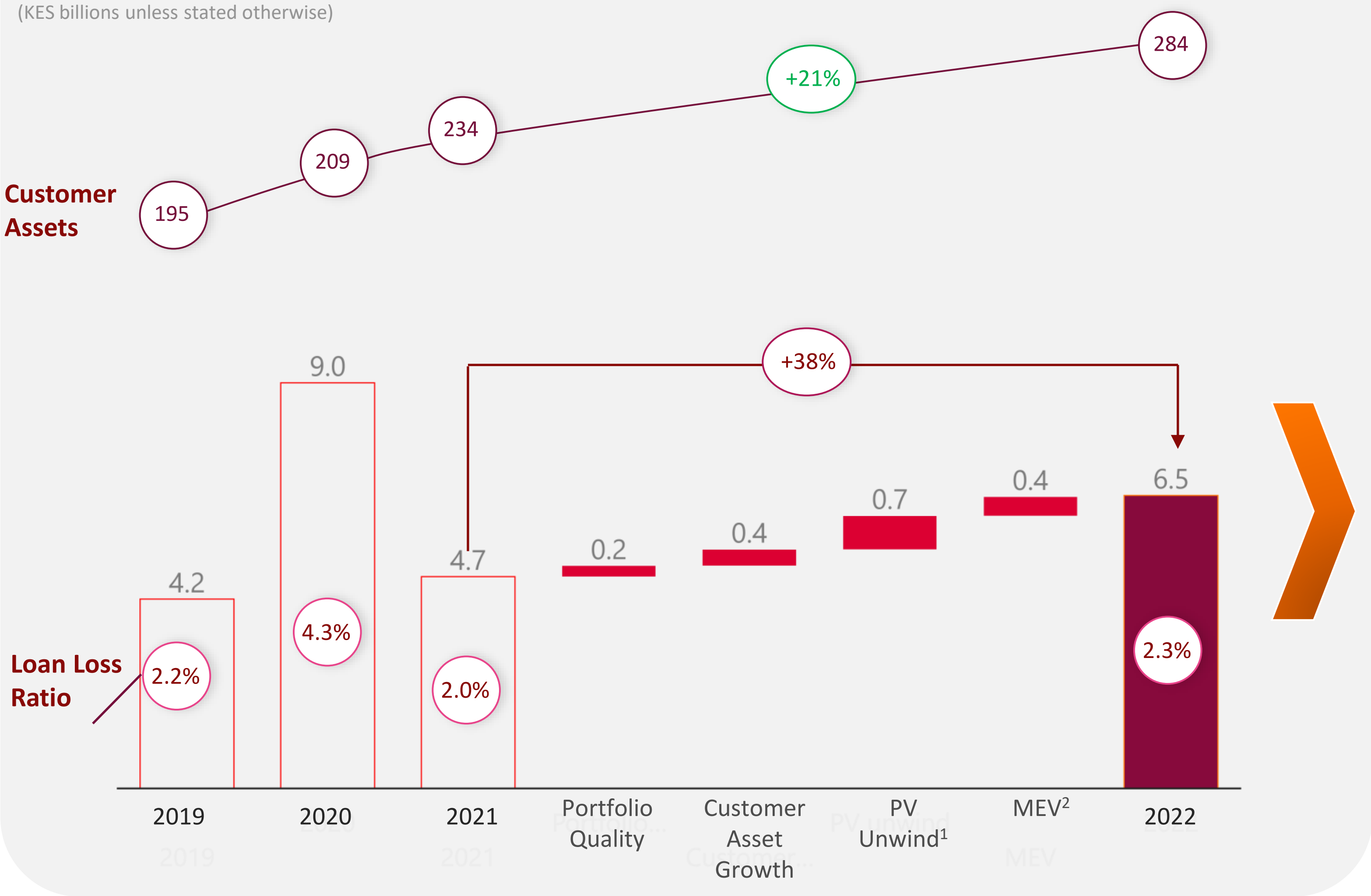

## Highlights

- Diversified growth driven by secured lending and trade loans in corporate and business bank
- 2/3 of our balance sheet is local currency denominated and largely insulated from currency fluctuations

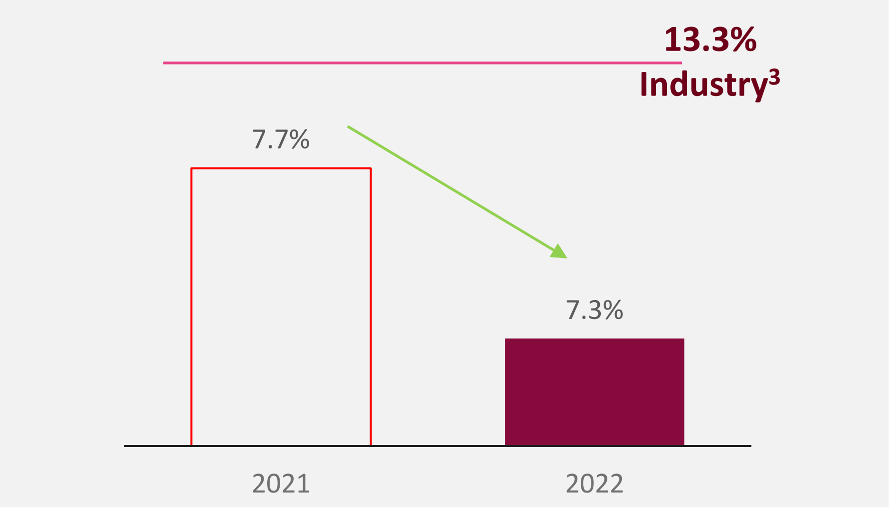
Notes
1. Yields drove KES 3 billion of revenue out of KES 9 billion growth

# 5 Improving Portfolio Quality: Lower NPL ratio with increased and adequate coverage ratio to help position for any likely macro headwinds

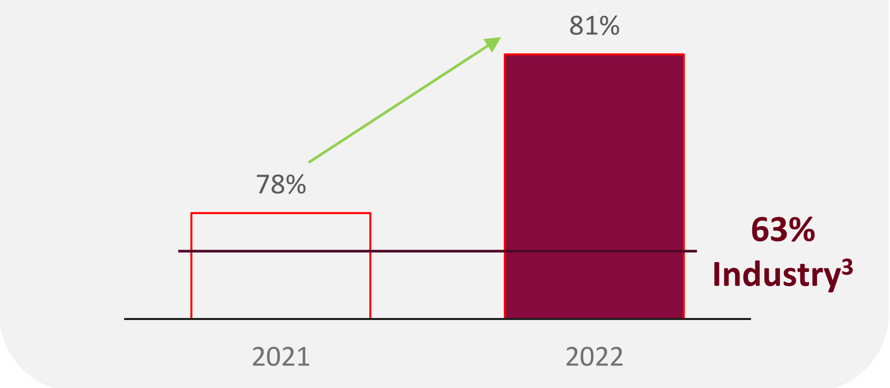
## Impairment relative to growth




## Gross NPLs Ratio




## Coverage Ratio

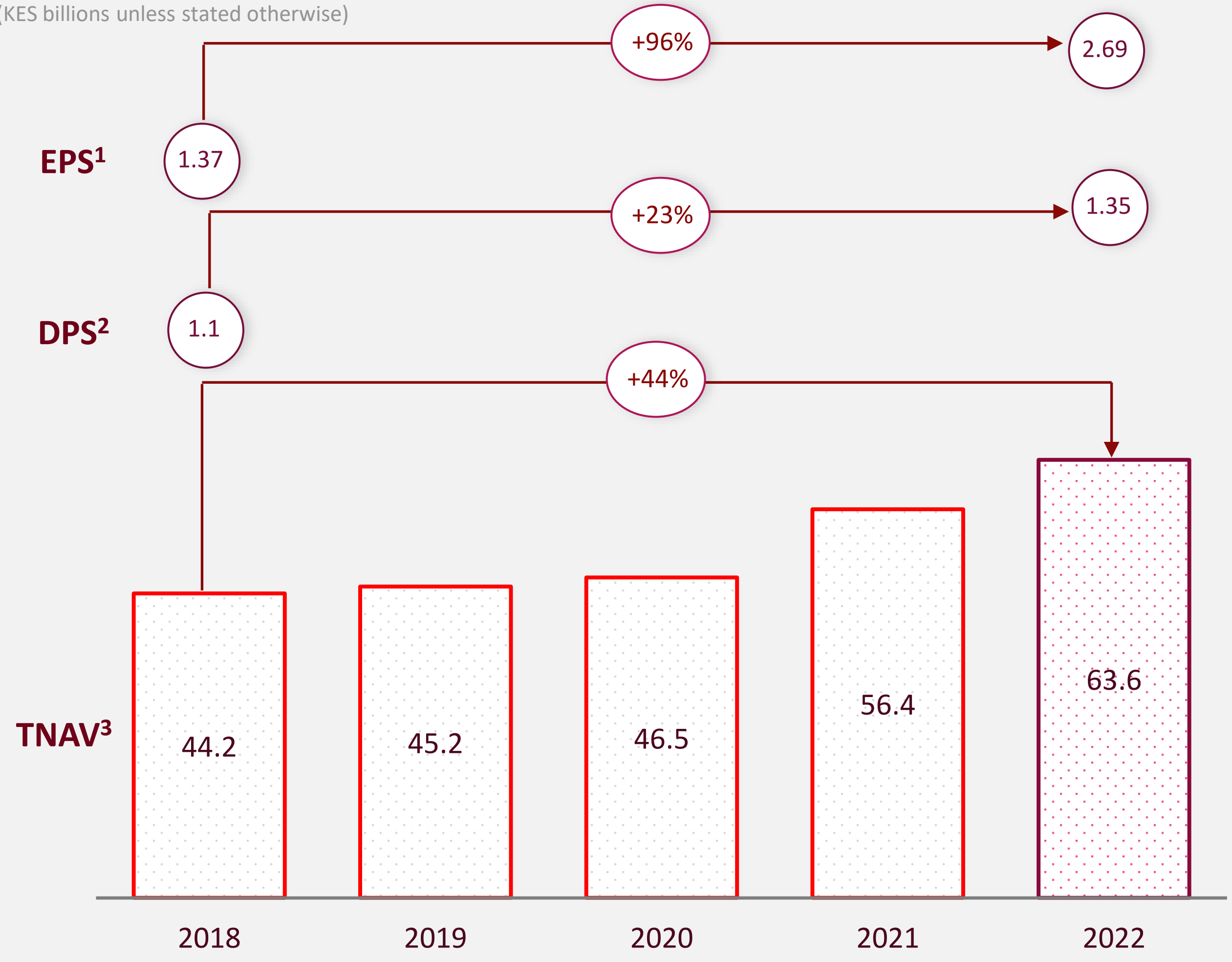



Notes
1. PV Unwind – IFRS9 Present Value recognition of stage 3 revenue
2. MEV – Macro Economic Variables increase by KES 421 million to KES 732 million
3. Industry gross NPLs (Non-Performing Loaning) as at Q4 2022, Industry Coverage Ratio as at Q3 2022

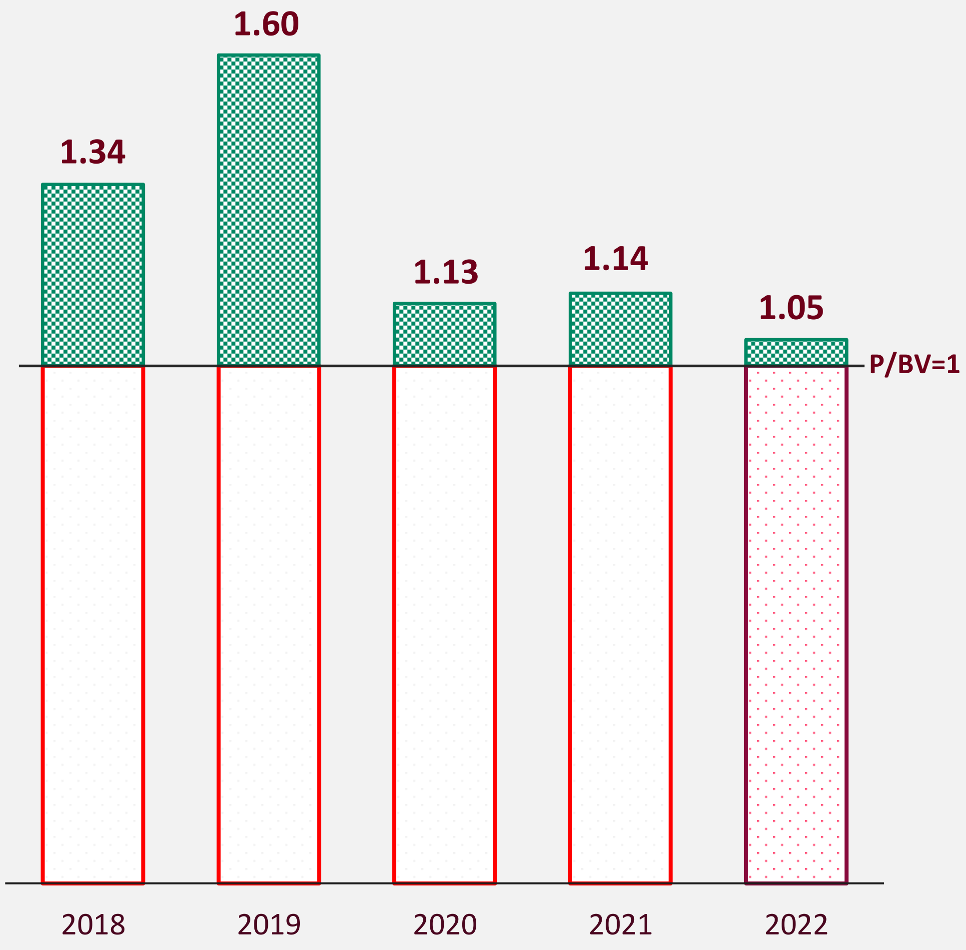
# 6 Attractive Valuations: Sequential increase in underlying valuations supporting the investment case

## Sequential increase in franchise value

(KES billions unless stated otherwise)




## Supporting Premium valuation




Notes
1. EPS (Earning Per Share) has been annualized for the quarterly results
2. DPS – Dividend Per Share
3. TNAV - Tangible Net Asset Value

# In Summary: 2022 outcomes have prepared us for an unusually uncertain 2023

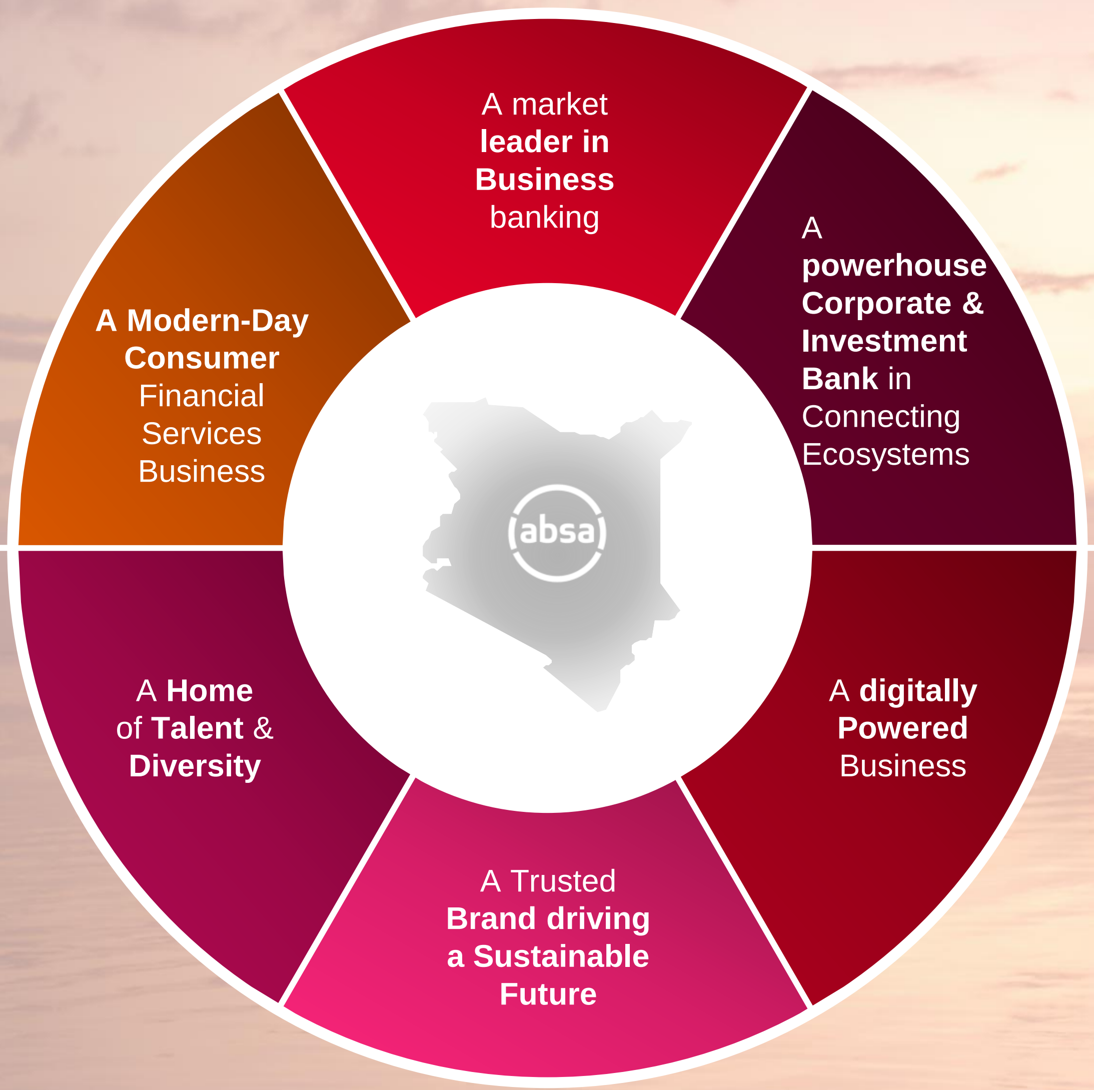
| A stand-out performance in 2022 … | …forms the foundation for 2023 momentum … | …and a defense for 2023 headwinds |
|---|---|---|
| Revenue up 25% | Revenue momentum sustained in Q1 2023 | Repricing cycle to put pressure on credit losses |
| PAT up 34% | Efficiency upside continues | Cost pressures due to inflation and currency |
| Efficiency ratio improved to 41% | Pressure on quality, however overall quality expected to remain way better than industry | Rate-based revenue growth momentum continues on stock; with risk-based revenue growth a H2 opportunity |
| Total capital ratio up to 18.5% | Profitability momentum sustained in Q1 2023 | Policy considerations |
| Dividend increased by 23% | Capital buffers remain adequate | |
| NPL ratio improved to 7.3% | | |
| Coverage ratio up to 81% | | |
| Franchise value (TNAV) up to KES 63.6 billion | | |

# Next Horizon Strategy

Yusuf Omari
– Interim Chief Executive Officer

# The strategy for the next horizon is founded on clear priorities and enablers aimed at accelerating momentum and transformation in order to outperform

## 3 Priorities




## 3 Enablers

# Disclaimer

Forward-looking statements

Certain statements in this document are forward looking that relate to, among other things, the plans, objectives, goals, strategies, future operations and performance of Absa Bank Kenya PLC . Words such as “anticipates”, “estimates”, “expects”, “projects”, “believes”, “intends”, “plans”, “may”, “will” and “should” and similar expressions are typically indicative of a forward-looking statement. These statements are not guarantees of Absa Bank of Kenya future operating, financial or other results and involve certain risks, uncertainties and assumptions.

Accordingly, actual results and outcomes may differ materially from these expressed or implied by such statements. Absa Bank Kenya PLC makes no representation or warranty, express or implied, that the operating, financial or other results anticipated by such forward-looking statements will be achieved and such forward-looking statements represent, in each case, only one of many possible scenarios and should not be viewed as the most likely or standard scenario.

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